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REVISION 2021 • SEMESTER 2

Financial Accounting II

Course Code: 2142 | Credits: 4 | Foundation Course

Course Overview

Financial Accounting II is a core foundation course designed for the Diploma in Commercial Practice. It builds upon the basics of accounting to handle complex practical scenarios encountered in business environments.

Teaching Scheme	5 Hours/Week (L:3, T:0, P:2)
Total Periods	75 Periods per Semester
Prerequisite	Financial Accounting I (2001)

Course Objectives

- Practical knowledge in Bank Reconciliation Statement (BRS).
- Awareness about rectification of accounting errors.
- Preparation of final accounts of sole proprietors with adjustments.
- Understanding and recording Bills of Exchange.

Course Outcomes (COs)

CO No.	Description	Hours	Cognitive Level
CO1	Utilize BRS concepts to solve mismatch problems between cash book and pass book.	20	Applying

CO No.	Description	Hours	Cognitive Level
CO2	Identify types of errors and prepare rectification entries.	14	Applying
CO3	Prepare final accounts with and without adjustments.	25	Applying
CO4	Identify Bills of Exchange and prepare accounting entries.	14	Applying

Module 1: Bank Reconciliation Statement (BRS)

Duration: 20 Hours

1.1 Introduction to BRS & Pass Book

A **Bank Reconciliation Statement** is a report prepared by a business to reconcile the difference between the bank balance shown in its *Cash Book* and the balance shown in the bank's *Pass Book* (or Bank Statement) on a particular date.

Key Terms:

- **Cash Book (Bank Column):** Maintained by the business. Debits represent deposits; Credits represent payments.
- **Pass Book:** Maintained by the bank. Credits represent deposits; Debits represent withdrawals.
- **Statement of Account:** A periodic summary provided by the bank showing all transactions.

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1.2 Causes of Difference

Differences usually arise due to two reasons: **Timing Differences** and **Errors**.

Transaction	Effect on Cash Book	Effect on Pass Book
Cheques issued but not presented	Decreased	No Change (Higher)
Cheques deposited but not cleared	Increased	No Change (Lower)
Bank Interest credited by bank	No Change (Lower)	Increased
Bank Charges debited by bank	No Change (Higher)	Decreased
Direct deposit by customer	No Change (Lower)	Increased

1.3 Preparation of BRS & Overdraft

BRS can be started with either the Cash Book balance or the Pass Book balance. If the balance is negative, it is called a **Bank Overdraft**.

Example: Prepare BRS as on 31st March.
1. Balance as per Cash Book: ₹10,000
2. Cheque issued but not presented: ₹2,000
3. Bank charges not in Cash Book: ₹100

Solution:
Balance as per Cash Book: 10,000
Add: Cheque issued not presented: +2,000
Less: Bank Charges: -100
Balance as per Pass Book: ₹11,900

Module 2: Rectification of Errors

Duration: 14 Hours

2.1 Types of Accounting Errors

Errors are classified based on their nature:

- **Error of Omission:** Transaction completely or partially omitted from books.

- **Error of Commission:** Wrong amount, wrong side, or wrong account (clerical).
- **Error of Principle:** Violating accounting principles (e.g., treating capital expenditure as revenue).
- **Compensating Errors:** One error cancels out another.

2.2 Location and Rectification

Errors are either **One-sided** (affecting one account) or **Two-sided** (affecting two or more accounts).

Suspense Account: If the Trial Balance doesn't agree, the difference is temporarily put into a Suspense Account until errors are located.

> **Rectification Entry Example:**
> *Error:* Purchase of Furniture for ₹5,000 debited to Purchase Account.
> *Rectification:*
> Furniture A/c ... Dr 5,000
>   To Purchase A/c ... 5,000
> (Being error of principle rectified)

Module 3: Final Accounts with Adjustments

Duration: 25 Hours

3.1 The Final Accounts Process

Final accounts consist of:

1. **Trading Account:** To find Gross Profit/Loss.
2. **Profit & Loss Account:** To find Net Profit/Loss.
3. **Balance Sheet:** To show financial position (Assets & Liabilities).

3.2 Common Adjustments

Adjustment	P&L Treatment	Balance Sheet Treatment
Outstanding Expenses	Add to Expense	Liability
Prepaid Expenses	Deduct from Expense	Asset
Depreciation	Debit P&L	Deduct from Asset
Closing Stock	Credit Trading A/c	Asset
Bad Debts Provision	Debit P&L	Deduct from Debtors

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Module 4: Bills of Exchange

Duration: 14 Hours

4.1 Definitions & Parties

A **Bill of Exchange** is an unconditional order in writing, signed by the maker, directing a certain person to pay a certain sum of money only to, or to the order of, a certain person or to the bearer of the instrument.

Parties to a Bill:

- **Drawer:** The person who makes the bill (Creditor).
- **Drawee:** The person on whom the bill is drawn (Debtor).
- **Payee:** The person who receives the money.

4.2 Important Terms

- **Acceptance:** When the drawee signs the bill to show agreement.
- **Endorsement:** Transferring the bill to another person.
- **Dishonor:** When the drawee fails to pay on the due date.

- **Noting & Protesting:** Legal process to record dishonor.
- **Renewal:** Cancelling the old bill and drawing a new one with interest.
- **Retiring:** Paying the bill before the due date (usually with a rebate).

Calculations & Formulae

Due Date = Date of Drawing + Tenure + 3 Days of Grace

Simple BRS Helper

Cash Book Balance (₹):

10000

Unpresented Cheques (+):

0

Uncleared Deposits (-):

0

Bank Charges (-):

0

Calculate Pass Book Balance

Visual Library

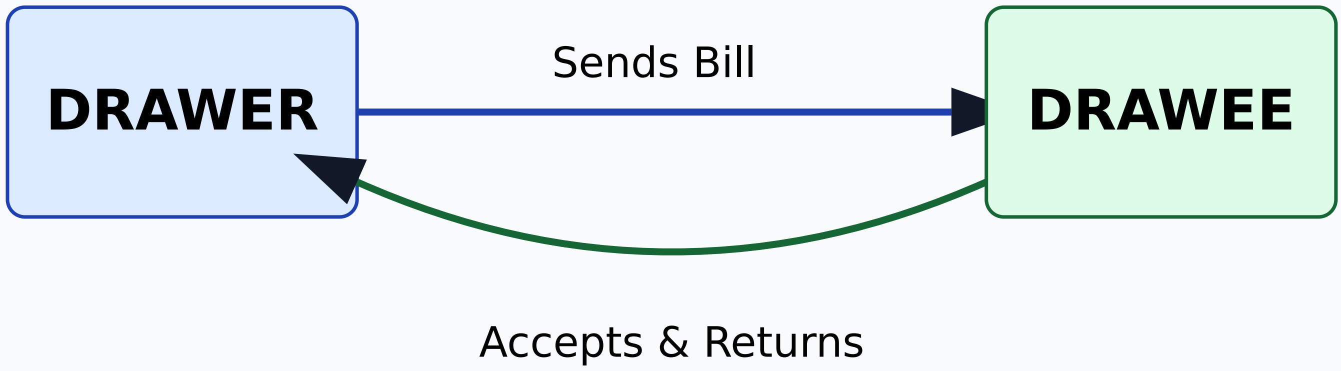

Figure 1: Relationship between Drawer and Drawee in a Bill of Exchange.

Module-wise Practice Questions

Q1: What is a Suspense Account? (2 Marks)

A Suspense Account is a temporary account used to balance the Trial Balance when it does not agree. Once the errors are located and rectified, the Suspense Account is closed.

Q2: Distinguish between Bill of Exchange and Promissory Note. (5 Marks)

- **Parties:** BOE has 3 parties (Drawer, Drawee, Payee); Promissory Note has 2 (Maker, Payee).
- **Order vs Promise:** BOE is an order to pay; Promissory Note is a promise to pay.
- **Acceptance:** BOE requires acceptance by the drawee; Promissory Note does not.

- **Liability:** Drawer's liability in BOE is secondary; Maker's liability in Promissory Note is primary.

Q3: Explain the treatment of 'Provision for Bad Debts' in Final Accounts. (5 Marks)

Provision for Bad Debts is created to cover expected losses from debtors. 1. **P&L Account:** Debited with the amount of new provision (or increase in provision). 2. **Balance Sheet:** Deducted from Sundry Debtors on the Assets side.

Practice Model Paper

FINANCIAL ACCOUNTING II (2142)

Part A: Short Answer (Answer all)
1. Define Bank Overdraft.
2. What are compensating errors?
3. Define 'Days of Grace'.
4. What is Rebate on Bills?

Part B: Short Essay (Answer any 4)
5. Explain the causes of difference between Cash Book and Pass Book.
6. How do you rectify an error of principle? Give an example.
7. Explain the importance of making adjustments in Final Accounts.
8. Distinguish between Endorsement and Discounting of a bill.

Part C: Essay (Answer any 2)
9. Prepare Trading, P&L A/c and Balance Sheet from the given Trial Balance... (Numerical)
10. Journalize the following transactions in the books of Drawer and Drawee regarding BOE... (Numerical)

Quick Revision

- **BRS:** Add cheques issued but not presented; Less cheques deposited but not cleared (starting from Cash Book balance).
- **Errors:** Principle errors don't affect Trial Balance agreement; Clerical errors often do.
- **Adjustments:** Every adjustment has a dual effect (Debit and Credit).
- **BOE:** Always add 3 days of grace to the period to find the maturity date.

Glossary

Amortization: The systematic reduction in the value of intangible assets.
Dishonor: Non-payment of a bill on its due date.
Notary Public: An official who records the fact of dishonor of a bill.
Outstanding Expense: Expense incurred but not yet paid.

Official Source Declaration

This content is based on the official **SITTTR Kerala Revision 2021** syllabus for the course **Financial Accounting II (Code: 2142)**. The structure follows the prescribed modules and learning outcomes provided by the Department of Technical Education, Kerala.

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